

Sanofi (SASY.PA)

Strong commercial execution, but pipeline misses continue to weigh on the multiple

SASY.PA	12m Price Target: €79.00	Price: €72.77	Upside: 8.6%
SNY	12m Price Target: \$45.00	Price: \$42.89	Upside: 4.9%

Following 2Q26 results, we update our model for: (i) latest FX trends; (ii) 2Q26 results; and (iii) key product-related commentary/trends from the print as well as announced asset discontinuations. In the short term (FY26/FY27) we increase Business EPS by 2–3%, however longer term we cut EPS by c.1% as we increase R&D investment and as we have taken out the revenue contribution from discontinued assets. Commercial execution remains strong, particularly for Dupixent, further supporting the strong near-term earnings momentum. However, the string of R&D failures with the release as well as product discontinuations, as some assets did not meet an internal efficacy bar for success, has reignited investor concerns around the pipeline's ability to replace/ offset the long-term competitive threat from Dupixent biosimilars, sending the stock back towards YTD lows – which on balance, could have been an over-reaction as expectations for some of the R&D programmes was arguably low. Key levers management have to offset long-term growth concerns including (1.) BD/M&A, (2.) adding assets to the Regeneron alliance and (3.) improvements in R&D productivity, are all likely to take time before each can have a meaningful impact, therefore we remain on the sidelines and reiterate our Neutral rating. Following the changes we cut our 12m target price to €79 (prev. €84), which implies c.9% upside post the results sell-off price.

- **Progress on the R&D turnaround and BD/M&A will be key to rebuilding investor confidence.** With the shares closing c.–9% following results, we believe investors are likely to require a more structured turnaround plan and tangible evidence that management can successfully execute on the pipeline transformation before sentiment meaningfully improves. While the new CEO has outlined clear priorities around strengthening scientific rigour, streamlining governance, enhancing accountability and reprioritising the pipeline, these initiatives

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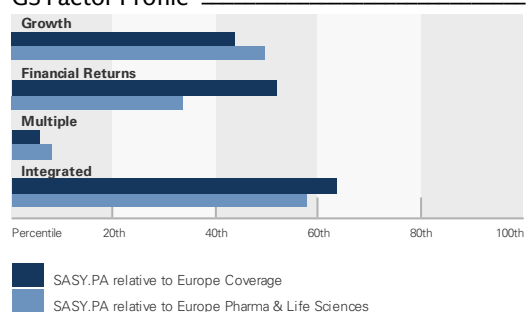
Key Data

Market cap: €87.6bn / \$99.7bn
Enterprise value: €98.3bn / \$111.9bn
3m ADTV: €186.7mn / \$215.2mn
France
Europe Pharma & Life Sciences
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (€ mn) New	46,716.0	50,809.4	54,447.6	57,589.7
Revenue (€ mn) Old	46,716.0	49,671.1	53,093.7	56,272.6
EBIT (€ mn)	12,149.0	13,392.5	14,871.6	15,864.6
EPS (€) New	7.80	8.56	9.72	10.53
EPS (€) Old	7.80	8.42	9.46	10.41
P/E (X)	11.6	8.5	7.5	6.9
Dividend yield (%)	4.4	5.7	5.9	6.2
CROCI (%)	5.7	8.2	9.5	9.6
N debt/EBITDA (ex lease,X)	0.8	0.6	0.2	(0.1)
	3/26	6/26	9/26E	12/26E
EPS (€)	1.87	2.08	2.75	1.86

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

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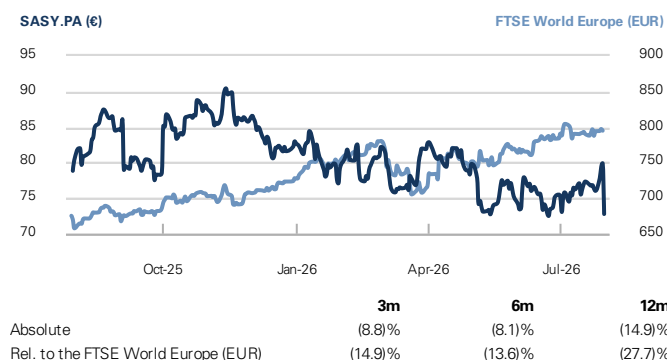
Rating since Mar 21, 2025

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
EV/sales (X)	2.6	1.9	1.7	1.5
EV/EBITDAR (X)	9.5	6.8	5.8	5.0
EV/EBITDA (excl. leases) (X)	9.3	6.7	5.7	4.9
EV/EBIT (X)	10.1	7.3	6.2	5.3
P/E (X)	11.6	8.5	7.5	6.9
Dividend yield (%)	4.4	5.7	5.9	6.2
EV/GCI (X)	0.8	0.6	0.6	0.5
CROCI (%)	5.7	8.2	9.5	9.6
ROIC (%)	11.7	13.4	15.1	16.0
ROA (%)	7.5	8.2	9.1	9.4
Days inventory outst, sales	76.7	69.2	61.6	60.3
Asset turnover (X)	4.0	4.2	4.0	3.9
Capex/D&A (%)	62.3	72.3	79.2	85.1
Net debt/equity (excl. leases) (%)	15.2	12.2	4.3	(3.0)
EBIT interest cover (X)	21.6	21.7	25.6	30.3
FCF cover of dividends (X)	1.4	2.0	2.1	2.2

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	5.5	8.8	7.2	5.8
EBITDA growth	6.0	10.5	11.2	7.1
EBIT growth	7.1	10.2	11.0	6.7
Net inc. growth	40.5	4.5	28.7	12.2
EPS growth	9.9	9.8	13.5	8.4
DPS growth	4.3	5.1	5.0	5.0

Price Performance

Source: FactSet. Price as of 30 Jul 2026 close.

Balance Sheet (€ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	7,657.0	10,171.7	12,864.4	15,220.2
Accounts receivable	8,410.0	9,297.1	9,992.4	10,590.4
Inventory	10,214.0	9,050.4	9,325.5	9,696.4
Other current assets	4,671.0	4,671.0	4,671.0	4,671.0
Total current assets	30,952.0	33,190.3	36,853.3	40,178.0
Net PP&E	11,511.0	12,795.0	14,116.5	15,446.4
Net intangibles	67,561.0	67,142.3	65,066.3	63,224.2
Total investments	3,259.0	3,310.0	3,310.0	3,310.0
Other long-term assets	13,522.0	13,522.0	13,522.0	13,522.0
Total assets	126,805.0	129,959.6	132,868.1	135,680.6
Accounts payable	7,361.0	7,574.6	7,855.9	8,193.1
Short-term debt	4,342.0	7,377.0	10,642.0	7,042.0
Short-term lease liabilities	272.0	272.0	272.0	272.0
Other current liabilities	16,370.0	16,538.2	16,526.3	16,527.2
Total current liabilities	28,345.0	31,761.8	35,296.2	32,034.3
Long-term debt	14,248.0	11,807.0	5,642.0	5,642.0
Long-term lease liabilities	1,467.0	1,467.0	1,467.0	1,467.0
Other long-term liabilities	11,035.0	10,938.2	11,448.9	11,382.1
Total long-term liabilities	26,750.0	24,212.2	18,557.9	18,491.1
Total liabilities	55,095.0	55,974.0	53,854.1	50,525.4
Preferred shares	--	--	--	--
Total common equity	71,376.0	73,651.6	78,680.0	84,821.2
Minority interest	334.0	334.0	334.0	334.0
Total liabilities & equity	126,805.0	129,959.6	132,868.1	135,680.6
Capital employed	90,300.0	93,169.6	95,298.0	97,839.2
Adj for unfunded pensions & GW	--	--	--	--

Cash Flow (€ mn)

	12/25	12/26E	12/27E	12/28E
Net income	7,813.0	8,162.4	10,504.9	11,786.8
D&A add-back	5,678.0	3,994.4	3,872.9	3,784.4
Minority interest add-back	38.0	--	--	--
Net (inc)/dec working capital	1,984.0	490.0	(688.9)	(631.8)
Other operating cash flow	(1,889.0)	237.4	498.8	(65.9)
Cash flow from operations	10,750.0	12,884.3	14,187.7	14,873.5
Capital expenditures	(3,538.0)	(2,889.8)	(3,068.5)	(3,222.2)
Acquisitions	(9,394.0)	(1,970.0)	(50.0)	(50.0)
Divestitures	0.0	--	--	--
Others	10,652.0	(167.0)	--	--
Cash flow from investing	(2,280.0)	(5,026.8)	(3,118.5)	(3,272.2)
Repayment of lease liabilities	(333.0)	--	--	--
Dividends paid (common & pref)	(4,810.0)	(4,937.8)	(5,176.5)	(5,345.6)
Inc/(dec) in debt	1,789.0	594.0	(2,900.0)	(3,600.0)
Other financing cash flows	(4,900.0)	(1,000.0)	(300.0)	(300.0)
Cash flow from financing	(8,254.0)	(5,343.8)	(8,376.5)	(9,245.6)
Total cash flow	216.0	2,513.7	2,692.7	2,355.7
Reinvestment rate (%)	40.4	23.3	20.6	20.8

Source: Company data, Goldman Sachs Research estimates.

Income Statement (€ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	46,716.0	50,809.4	54,447.6	57,589.7
Total operating expenses	(22,466.0)	(22,987.8)	(23,777.2)	(24,822.8)
R&D	(7,842.0)	(8,199.5)	(8,568.4)	(8,911.2)
Other operating inc./(exp.)	(4,259.0)	(6,229.7)	(7,230.4)	(7,991.1)
EBITDA	13,126.0	14,498.2	16,118.6	17,256.9
Depreciation & amortisation	(977.0)	(1,105.7)	(1,247.0)	(1,392.3)
EBIT	12,149.0	13,392.5	14,871.6	15,864.6
Net interest inc./(exp.)	(262.0)	(353.0)	(281.9)	(209.8)
Income/(loss) from associates	--	--	--	--
Profit/(loss) on disposals	--	--	--	--
Total other net	--	--	--	--
Pre-tax profit	11,887.0	13,039.5	14,589.7	15,654.8
Provision for taxes	(2,332.0)	(2,738.3)	(2,917.9)	(3,209.2)
Minority interest	--	--	--	--
Preferred dividends	--	--	--	--
Net inc. (pre-exceptionals)	9,555.0	10,301.2	11,671.7	12,445.5
Post-tax exceptionals	(1,742.0)	(2,138.8)	(1,166.8)	(658.7)
Net inc. (post-exceptionals)	7,813.0	8,162.4	10,504.9	11,786.8
EPS (basic, pre-exception) (€)	7.83	8.60	9.75	10.58
EPS (basic, post-exception) (€)	6.40	6.81	8.78	10.02
Wtd avg shares out. (basic) (mn)	1,220.4	1,198.5	1,196.6	1,176.9
Tax rate (%)	19.6	21.0	20.0	20.5
Common dividends declared	4,784.1	4,937.8	5,176.5	5,345.6
DPS (€)	3.92	4.12	4.33	4.54

remain at an early stage and a meaningful turnaround in R&D productivity is expected to take time. Similarly, BD/M&A has the potential to complement the internal pipeline, but investors are likely to wait for evidence that these strategic changes translate into a stronger innovation engine and improved pipeline quality. In our view, a dedicated R&D event in 2H26, setting out a comprehensive turnaround strategy with clearly defined priorities, milestones and timelines, could represent an important catalyst by providing a framework against which progress can be assessed – however delivery against these priorities will be key in restoring investor confidence in the long-term outlook.

- **Updating our estimates for the results, latest FX, product level changes based on company commentary (vaccine phasing impacts and higher Dupixent sales, driven by strong underlying growth) and pipeline updates (discontinued assets include amlitelimab in Atopic Dermatitis, itepekimab in COPD and CRSwNP and balinatunfib in UC/CD) leads to a 12-month price target of €79 (€84 previously).** Our 12-month price target is derived from a 50:50 blend of DCF and PE. Our bottom-up DCF analysis suggests a valuation of €75 per share (previously €83). On a multiples basis, applying a 8x (down from 8.5x) target multiple to 2027E blended EPS suggests a valuation of €82 per share (previously €85). Blended, this results in a 12-month price target of €79 (previously €84) and ADR price target of \$45 per share (previously \$49).

Key takeaways from earnings call/ investor conversations

- **R&D transformation underway, although a broader turnaround will take time.** Management indicated that the early phases of its R&D transformation have begun through the strategic review of the late-stage pipeline to enable resource reallocation towards assets with stronger scientific merit and commercial potential and acknowledged that further discontinuations (beyond already announced) remain possible. The new CEO highlighted an initial focus on managing operational risk by strengthening scientific rigour, streamlining governance and ensuring decisions are made at the appropriate level, alongside greater accountability and fact-based decision making. The company also expects a moderate increase in R&D investment in the short term, with spending evolving alongside potential business development and M&A opportunities, noting that the majority of its R&D budget is allocated to clinical development. Management acknowledged the historical pipeline failures and R&D challenges and indicated that a turnaround will take time, although no specific timeline was provided.
 - *Our view;* Given R&D cycle times to fully turnaround an R&D organisation we believe this could take 7+ years. It is difficult to assess if the lack of R&D productivity lies in operational execution of trials or knowledge of the science. Therefore, we would expect investors to remain cautious on the potential speed of recovery in R&D productivity. Management hinted that there could be a dedicated R&D update outlining a more comprehensive turnaround strategy, including defined priorities, milestones and timelines, as well as more details of potential further pipeline pruning in 2H26. Such an event could be useful for the market in understanding the new vision for the R&D organisation or new head of R&D, but as above, it will likely take time before full credit is given on the pipeline.
- **Regeneron alliance remains strategically important, with scope to enhance collaboration and expand the partnership.** Management reiterated the strategic importance of its alliance with Regeneron, highlighting the significant success achieved with Dupixent while acknowledging that there is scope to make the collaboration more agile and transparent. On the potential expansion of the alliance, Sanofi noted that discussions are ongoing, with options to eventually include additional assets from both companies. Further, management also clarified that the alliance does not constrain Sanofi's M&A strategy and that there are no barriers to pursuing acquisitions independently. However, when evaluating external opportunities, the company indicated that it considers whether an acquired asset could generate greater value if developed within the Regeneron collaboration.
 - *Our view;* the Regeneron alliance remains complex, particularly with ongoing disagreements between the companies related to allocation of resources. Ultimately, we believe it is in the best interests of each company to leverage the Dupixent rebates to enhance competitive positioning of the immunology pipeline assets, however with a potential imbalance of assets to contribute to the relationship (Sanofi - pre-clinical STAT6 vs. Regeneron's long acting IL13 and IL13/IL4 portfolio), this could lead to a cash payment from Sanofi to

Regeneron - as part of the alliance - adding another layer of complexity. Therefore it could take time before the market has greater visibility over the potential for the Alliance to drive long term growth.

- **BD/M&A strategy to extend beyond early-stage assets, while maintaining a disciplined, science-led approach.** Management indicated that, while Sanofi has historically focused on acquiring early-stage assets, it is now also considering late-stage and potentially commercial assets where they offer an attractive strategic fit. The company emphasised that future transactions are unlikely to be centered on a single large acquisition, but rather on opportunities that offer the strongest scientific rationale, strategic relevance and financial returns. Management also reiterated that BD/M&A activity will remain focused on its core therapeutic pillars of immunology, rare diseases and vaccines.
- **Bulls we spoke with are focusing on commercial strength, and believe that there may be too much of a focus by the market on the Regeneron partnership.** While Dupixent underlying beat was strong, with 80% of the Pharma beat driven by Dupixent, and the market focused on post Dupi LoE, strength could create an overhang longer term. The cash generated is a key positive, in our view, but the market needs to better understand how management will deploy the cash for future BD/M&A. Some investors pushed back on our First Take where we suggested there was an underlying miss of 2-3%, as we did not add back one-time R&D expenses relating to discontinued products (>€200m increased R&D costs). In our view, pipeline discontinuations are a real cost and should not be added back when analysing the results, otherwise adding back/ ignoring this cost could reward poor pipeline productivity. Some investors questioned why the market was so focused on the Regeneron partnership - and here we think the partnership does matter as the internal pipeline has not delivered. If the fully owned pipeline were to deliver a number of positive trials in the near-medium term, it would reduce reliance on the Regeneron partnership.
- **Bears questioned why there is not more downside potential given peer performance ahead of LoEs, as well as the limited pipeline.** Bearish investors we spoke to flagged that BMY traded as low as 6x forward PE, which suggests potential for more downside with Sanofi currently trading around 8x. While we have decreased our target multiple to 8x (from 8.5x), we believe the strong commercial performance and cash flow (despite potentially increasing the impact of the patent cliff) could support the multiple as it gives Sanofi more capacity for deals. Bears continue to see an urgent need for M&A - both commercial/ late stage and clinical stage to help diversify the portfolio.

Forecast changes

Key updates to our estimates (1.) we update for 2Q26 results and latest FX (2.) remove our sales estimates for discontinued assets - amlitelimab in atopic dermatitis (while we continue to model sales for amlitelimab in Celiac disease - we include €750mn unadjusted peak sales at a 40% PoS), itepekimab in COPD and CRSwNP and balinatunfib in UC/CD (3.) phasing impact for vaccines with 3Q26 expected to see a low to mid teens decline and overall slightly negative growth in FY26 (4.) we increase our Dupixent estimates driven by strong underlying growth and upgrade to the 2030 peak sales guidance (GSe peak sales: €26.8bn in 2031) (5.) we update our riliprubart PoS (up to 30% from 10%) given Phase 3 VITALIZE in IVig treated population is on track for a 2H27 readout.

Overall, our estimates are c.+2%/+1%/+1% on average across 2026-30E for sales, business operating income and business EPS.

Exhibit 1: Sanofi forecast changes 2026-30E

	2026	2027	2028	2029	2030
Sales - New	47,795	51,369	54,444	57,042	59,178
Sales - Old	46,657	50,015	53,127	56,037	58,453
Diff %	2.4%	2.7%	2.5%	1.8%	1.2%
Diff Abs	1,138	1,354	1,317	1,005	725
Operating profit - New	13,392	14,872	15,865	17,020	17,743
Operating profit - Old	13,024	14,494	15,677	17,084	17,975
Diff %	2.8%	2.6%	1.2%	-0.4%	-1.3%
Diff Abs	369	378	187	-64	-233
EPS - New	8.60	9.75	10.58	11.52	12.27
EPS - Old	8.46	9.50	10.45	11.56	12.43
Diff %	1.6%	2.7%	1.2%	-0.4%	-1.3%
Diff Abs	0.14	0.25	0.13	-0.04	-0.16

Net Sales and Business EPS basic shown

Source: Goldman Sachs Global Investment Research

Upcoming catalysts

News flow remains limited for the rest of 2026. Key update in our view would be detailed Phase 2 data from lunsekimig to be presented at the European Respiratory Society conference in September 2026.

Exhibit 2: Key newsflow

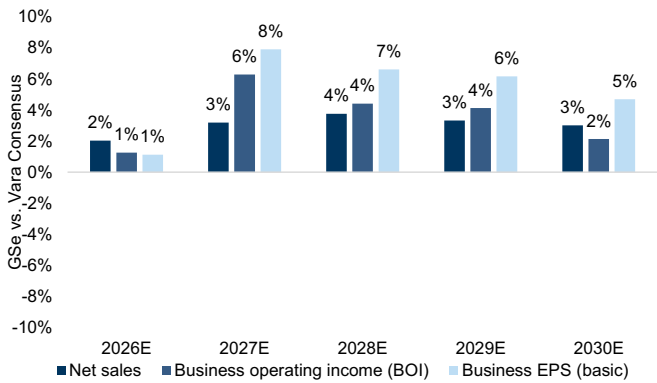
Timing	Medicine/vaccine	Indication	Description	Potential Px move
2026				
2H26	lunsekimig	moderate-to-severe asthma	Detailed Phase 2 data at ERS in Sep 2026	↑/↓
2H26	Sarclisa	Multiple myeloma transplantation-eligible	Phase 3 data	↑/↓
2H26	Nexvazyme	IOPD	Regulatory submission (US)	-
2H26	efdoralprin alpha	AATD emphysema	Regulatory submission (US)	-
2H26	SP0087	rabies	Regulatory submission (US)	-
2027				
1H27	SP0218	Yellow Fever	Phase2/ Pivotal read out in Yellow Fever - data and submission expected in 2027	↑/↓
1H27	Dupixent	CSU	Phase 3 remibrutinib vs Dupixent H2H from Novartis (RECLAIM primary completion Feb 2027)	↑/↓
2H27	frexalimab	Type 1 diabetes	Phase 2 data (FASULINUS primary completion Apr 2027)	↑/↓
1H27	brivekimig	Crohn's disease	Phase 2 CHROMA-CD (primary completion Dec 2026)	↑/↓
1H27	brivekimig	Ulcerative colitis	Phase 2 COLOR-UC (primary completion Dec 2026)	↑/↓
1H27	brivekimig	Type 1 diabetes	Phase 2 T1D OBTAIN (primary completion April 2027)	↑/↓
2H27	frexalimab	RMS	Phase 3 data (FREXALTY, primary completion May 2027)	↑/↓
2H27	riliprubart	CIDP	Phase 3 VITALIZE (primary completion Jul 2027)	↑/↓
2H27	brivekimig	HS	Phase 2 BRIGHTEN data in HS (primary completion Aug 2027)	↑/↓
2H27	lunsekimig	High-risk asthma	Phase 2 AIRLYMPUS (primary completion Sep 2027)	↑/↓
2027	SP0202	PCV	Phase 3 data	↑/↓
2H27	frexalimab	RMSInrSPMS	Regulatory submission	-

Source: Company data, Goldman Sachs Global Investment Research

GSe vs consensus

Overall, we are +3%/+4%/+5% vs. pre 2Q26 Vara consensus on sales/Business operating income/Business EPS, on average, across FY26-30E.

Exhibit 3: GSe vs consensus



Source: Vara Research, Goldman Sachs Global Investment Research

Valuation and risks

We are Neutral rated. We derive our EU large cap pharma price targets using a 50:50 blend of a DCF-based valuation and a P/E multiple-based approach. Our bottom-up DCF methodology utilises an 8% WACC and -2% TGR and suggests a valuation of €75 per share (previously €83 per share). Our P/E methodology utilises an 8x (down from 8.5x reflecting pipeline asset discontinuations which impact long term growth potential) target multiple applied to 2027E EPS, and suggests a valuation of €82 per share (previously €85 per share). Blended, this results in a 12-month price target of €79 per share (previously €84 per share) and ADR price target of \$45 (previously \$49).

Upside risks to our view and price target:

1. Strong clinical pipeline readouts, including Phase 2 readouts, driving a positive reaction;
2. Faster-than-expected sales growth of Dupixent, Altuviiiio, Ayvakit and Beyfortus, driving positive earnings momentum; and,
3. Capital allocation (i.e. extending the current buyback programme or M&A) could also have a positive impact.

Downside risks:

1. Disappointments on clinical pipeline readouts driving concerns over the long-term replacement strategy for Dupixent;
2. Downward EPS consensus revisions due to FX in the short term but also longer term in other operating income as Regeneron payaway is factored in; and,
3. Slower-than-expected sales growth of Dupixent, Altuviiiio and Beyfortus.

Disclosure Appendix

Reg AC

We, James Quigley, Rajan Sharma, Shyam Kotadia, Kaaviya Ganesan, Max Da, Ph.D. and Theodora Rowe Beadle, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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GS Factor Profile

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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M&A Rank

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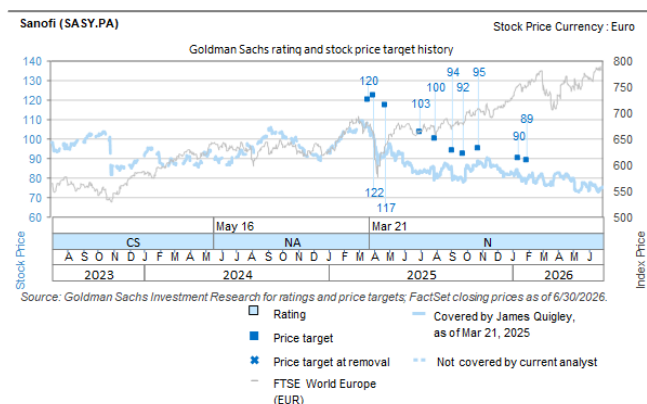
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	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

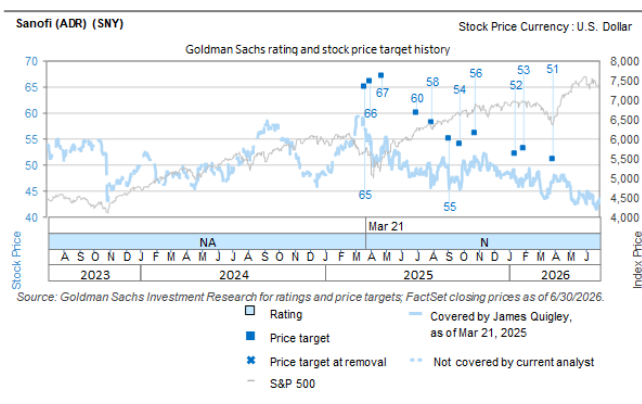
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Target price history table(s)

Sanofi (ADR) (SNY)

Date of report	Target price (\$)	Closing price (\$)
06-Jul-26	49.00	42.61
30-Mar-26	51.00	46.72
30-Jan-26	53.00	47.04
15-Jan-26	52.00	47.47
27-Oct-25	56.00	51.41
25-Sep-25	54.00	45.07
04-Sep-25	55.00	45.33
01-Aug-25	58.00	46.75
02-Jul-25	60.00	49.31
24-Apr-25	67.00	53.54
02-Apr-25	66.00	53.95
21-Mar-25	65.00	56.90

Sanofi (SASY.PA)

Date of report	Target price (€)	Closing price (€)
06-Jul-26	84.00	74.51
30-Jan-26	89.00	79.20
15-Jan-26	90.00	81.63
27-Oct-25	95.00	88.13
25-Sep-25	92.00	77.52
04-Sep-25	94.00	78.96
01-Aug-25	100.00	80.34
02-Jul-25	103.00	83.61
24-Apr-25	117.00	93.35
02-Apr-25	122.00	100.40
21-Mar-25	120.00	105.84

Price targets shown in table(s) are unadjusted for corporate actions.

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